# 2009 Employee Information Manual




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## Welcome to Allen Kitchen and Bath

Allen Kitchen & Bath started in 1980 with Gary & Laree Allen purchasing a small countertop shop in Janesville. Cabinets and other product lines needed for kitchen or bath remodeling were added to the line and displays. In 1988 we opened a store in Madison. In 1996 we closed the store portion of Janesville and expanded the countertop shop to include all 8000 square feet.

December 2004 we purchased a 35,000 square foot building in Deerfield. It was completely remodeled to accommodate our countertop production, corporate offices and future warehouse needs. The Janesville facility was closed and sold.

Stone fabrication equipment was added to the shop in February 2005 to allow in house production of granite and quartz tops.

During 2007 we sold the Madison store and build a new store 1 block west of the previous facility. The new store is 6000 square feet of kitchen and bath displays with 6 sales offices.

In January 2006 we opened a temporary showroom in Milwaukee at 105 N. Water Street in the Old third Ward. The permanent 3000 square foot Milwaukee Store opened May 15, 2008 on the retail level of the River Renaissance Condominium Building.

Our product offering includes all items needed for remodeling a kitchen or bath including cabinets, tops, tile, appliances, plumbing fixtures and faucets, light fixtures, flooring, carpeting, wall covering, draperies, windows and doors. We are proud of the well-known and reliable brand name products we represent such as Kohler, KraftMaid, Daltile, Mannington, Corian®, Zodiaq® and Mohawk among others. Customers can select all of the materials and labor from one source!

Some information you may want to know about Allen Kitchen & Bath . . .

- We employ over 30 full time staff
- 10 full time carpenters are on staff
- Allen Kitchen & Bath ranks in the top 500 remodelers in the United States.
- We are among the largest Corian® Dealers in Wisconsin.

**Thank you for choosing Allen Kitchen and Bath** as your place of employment. We are dedicated to producing the highest quality products, with quality service; we are sure you will help us achieve the best reputation for doing just that. If you have suggestions or ideas for improvement of your job skills, we welcome any and all comments. If you have a problem or concern, we urge you to talk it over with your supervisor. The well being of Allen Kitchen and Bath and our staff is a priority with us.

Experienced employees should help to make new employees “feel at home” and help them learn their job as quickly and thoroughly as possible.

## Safety

Safety of our staff and our customers is of great concern to us. We count safety as our highest priority when assessing changes and policies.

It is your responsibility to insure that you practice all safety rules pertaining to your duties, which include using proper body mechanics when lifting and operating equipment. If you have any questions regarding proper procedures to use and prevent injury to yourself or others, ask your supervisor.

Make a point to know where all fire exits and fire extinguishers are located and how to use them.

You are expected to familiarize yourself with the Emergency Plans which are posted on the bulletin board in the break room. Fire and emergency numbers are posted near the telephone.

Safety procedures specific to the plant and job sites:

- It is strongly recommended that eye protection be used in operation of all power tools and equipment.
- Hearing protection is provided for shop and field personnel but is not required.
- No loose clothing (shirt tails, oversized sweatshirts, etc.), long loose hair, rings, ear rings or loose jewelry are to be allowed in the shop or in the field (installing).
- Particulate filter dust masks are available and provided where desired but are not required.
- All injuries are to be reported immediately to shop foreman or your supervisor.
- First Aid Kits are located in the Shop and in the central office in Madison and Milwaukee.
- Know the location of all fire extinguishers in the shop, Stores and trucks.
- Lifting, carrying, ergonomics- care should be used lifting heavy and bulky objects. Request assistance where needed to avoid injury.
- Job site safety is a top priority for Allen Kitchen and Bath; carpenters and others working in customers' homes should maintain a safe work environment – for themselves and our customers. GFI extension cords only should be used, and power tools should be unplugged when workers are away from the job.

- Warehouse – all fire exits and aisles must be clear at all times in the warehouse and shop.

- Material Safety Data Sheets are located in a white notebook in the shop office.

- Safety training is conducted periodically for plant workers, installers, and carpenters and is required.

- Tools – All tools and machinery are to be kept in proper working order whether company owned or employee owned. No ground plugs may be removed from cords, frayed cords must be replaced and all guards must be in proper working condition and must be used.

- All OSHA safety requirements must be followed.

- Fall protection harnesses are required to be used when working on any roof within 4' of the edge. A safety harness is available.

- Electrical Lock Out is required on all shop equipment when performing maintenance or changing blades, cutters, etc.

- When changing cutters or blades on portable tools the tool must be disconnected from the power supply or battery.

- Closed toe shoes must be worn when working on job sites or in the shop. Steel toe shoes are encouraged for field and shop employees.

- Other safety gear may be required based on job site rules. You are expected to follow those job site rules.

## First Aid

First aid kits are located in the store offices, the shop, and all trucks:

- Madison- at the reception counter
- Milwaukee- at the reception counter
- Shop - in bathroom near break room

Please report shortages of first aid supplies to your supervisor or the Safety Officer. The safety officer shall check and re-supply all first aid kits at least 2 times per year.

## Fire Extinguishers

Appropriate categories of fire extinguishers are provided in locations based on need and type of use.

Annual inspection and recharging as needed shall be done on all extinguishers and shall be the responsibility of the shop foreman and the safety officer.

Location of extinguishers:

- Shop - Location maps in break room and near warehouse door.
- Office/store - located at each stairwell, accounting office, at the dock, and near elevator.
- Trucks - mounted behind driver and within reach from driver's seat.

## Security

- **Building security:**
  - Shop – last person to leave is responsible for securing the building – lock all doors.
  - Main office/store – Lock front and rear doors and check dock overhead door before leaving.
  - Lost keys must be reported to the supervisor.
  - All keys to buildings, job sites, vehicles must be turned in to your supervisor prior to leaving the employee of Allen Kitchen & Bath.

- **Computer and information system security:** data is to be backed up daily to an off premise location for all critical programs.

- **Information about products,** business practices, computer programs and pricing are the property of Allen Kitchen and Bath, and are not to be disclosed to other individuals or organizations.

We cannot assume responsibility or liability for employees' personal property in the event of theft or damage. If you bring personal property onto Allen Kitchen and Bath premises, you do so at your own risk.

## Employee Status

Allen Kitchen and Bath generally divides its employees into the following classifications:

- Full-time exempt: An employee who is regularly scheduled to work 30 or more hours per week and is considered full-time and is eligible for the benefits described in this handbook. An exempt employee is paid a flat monthly rate regardless of the actual number of hours worked. Hours in excess of 40/week are not considered as overtime nor does the employee receive additional compensation.

- Full-time hourly: An employee who is regularly scheduled to work 30 or more hours per week and is considered full-time and is eligible for the benefits described in this handbook. An hourly employee is paid per hour worked. Hours in excess of 40/week will be considered overtime.

- Union Employees: An employee who is part or full time but is covered by a collective bargaining agreement. Prevailing union rules apply.

- Part-time: An employee who is regularly scheduled to work less than 30 hours per week is considered part-time. Regular part-time employees are not eligible for benefits.

- Casual: An employee who is hired on a temporary basis to perform a specific job and is not eligible for benefits.

- Students: All students are considered part-time employees regardless of the number of hours worked and are not eligible for company benefits.

## Side Jobs

Employees are prohibited from performing side work for pay that would be deemed in conflict with the best interests of Allen Kitchen & Bath. (Examples of such conflicts would be carpenters doing remodel or installation work on kitchens or bathrooms or a designer drawing kitchens or bathrooms for hire.) this is not intended to prohibit work for relatives even with the receipt of incidental compensation.

No carpenter or installer shall perform any side jobs for any existing or past Allen customer.

Violation of this policy can result in termination.

## At Will Employment

All employees of Allen Kitchen and Bath are hired on an at-will basis. This means that, just as you may terminate your employment with us at any time, we may terminate your employment with us at any time. While it generally happens that people do not quit their employment without good reason, it is also often the case that the employee will not want to offer reasons regarding why he or she wants to leave the company. Therefore no explanation is required.

The same holds true for us. That is, we are not required to offer an explanation of any employment termination decision. Nothing alters this arrangement. No agent, representative, or employee of the company is authorized to change this basic employment arrangement or the policies contained here, except in writing by the supervisor.

## Employee Records

It is important that your personnel records contain accurate, up-to-date information. Please notify your supervisor of any changes in your address, telephone number, marital status, or number of dependents. These records are necessary in emergencies and for payroll and tax purposes.

All personnel records are handled in strict confidence.

## Back To Work Policy

Should an employee be injured in the course of employment, the company will make every effort to provide meaningful employment on a short or long term basis suitable to the diminished physical or mental capacities of the employee. This position may result in an alteration of pay.

Should an employee refuse to accept such an assignment that is within the parameters of work deemed acceptable by an independent doctor, the employee may be terminated.

## Appearance and Attire

Allen Kitchen and Bath employees should always have a neat and clean appearance.

Slacks and jeans are acceptable as long as they are clean. Shorts that are in good taste will be allowed unless it conflicts with a job site rule.

Professional attire is expected for sales staff.

Comfortable, clean, shoes should be worn at all times. We want our staff to dress casually and comfortably. Of course, we expect you to maintain proper personal hygiene and to keep your hair neat and clean.

Field personnel are provided with company branded shirts to provide a professional appearance, allow the customer to recognize them and provide advertising value. We strongly recommend the wearing of company branded shirts.

If you come to work in a manner unacceptable to these policies you will be asked to return home and change. Repeated violations can result in disciplinary actions including termination.

## Conduct and Attitude

Employees of Allen Kitchen and Bath are expected to treat co-workers, customers, sub contractors and visitors with respect at all times. Employees failing to do so will be disciplined accordingly.

We expect all of our employees to be honest. Employees who falsify information or steal the property of Allen Kitchen and Bath or its customers, assist in theft, falsify time cards or other information will be terminated and prosecuted to the fullest extent of the law.

All staff are required to notify the supervisor if any wrong-doing that may be considered criminal is discovered.

## Job Site Rules

- **Radios – may be played so long as they are not objectionable to the customer and volume is kept low.**

- Smoking – is prohibited in all customer homes and in new homes. Smoking, if required, must be during breaks and lunch and shall be outside the customer home. No cigarette butts or refuse shall be discarded on customer floors, drives, or lawns. (In Jan.2009 smoking will not be allowed on customer property.)

- Customer food and property – Do not use or consume anything belonging to the customer. This includes radios, vacuum cleaners, step ladders, tools, extension cords, etc. If you wish to use the customer's refrigerator for ***your*** lunch or beverages please get their permission first.

- Safety – Maintain the job site in a clean and orderly condition at all times and provide proper barriers for any hazards such as open stair wells, etc. Proper procedures for safe removal of wall surfaces that may contain lead shall be followed as outlined in the company manual on "Lead and Dust Control".

- Security – All necessary measures shall be taken to avoid damage to customer property. Be certain the job site is closed up and secured whenever leaving.

- Damage to any of the owner's property must be reported immediately to the project coordinator and home owner. Repair or replacement should be arranged immediately.

- Phones – Use of the customer's phone shall be limited to business calls only. It is not acceptable to give the customer's number to anyone other then Allen Kitchen and Bath employees or sub contractors. No long distance calls shall be made on the customer's phone except to our toll-free office number (800-227-8575).

- Cleanup- **Each job site shall be cleaned daily**, power equipment unplugged and stored, tools stored safely. **Debris shall be removed from job sites promptly.**

- Violations may result in disciplinary actions.

- Communication with our customers is critical to customer satisfaction. If you are going to be more than 5 minutes late for an appointment PLEASE CALL the customer. If you have questions or a problem arises . . . CALL YOUR CUSTOMER!

## Smoking

Allen Kitchen and Bath properties are non smoking facilities. Smoking is permitted only on the grounds outside and behind the buildings. Smoking is not permitted in customers' homes. Smoking materials must be safely discarded and not appear on the grounds. **(Starting January 2009 smoking will not be allowed on company grounds or in company vehicles**.)

## Alcohol and Drug Abuse

Controlled substances not prescribed by a licensed physician are not allowed on the premises of Allen Kitchen and Bath. Alcoholic beverages may not be consumed, used, or carried onto the premises of Allen Kitchen and Bath. You are not to report to work under the influence of alcohol or any controlled substance. Violation of this policy subjects you to disciplinary action including possible termination. **Drug testing may be required as a condition of employment and random drug testing may be conducted without notice.**

## Work Schedules and Assigned Duties

Work schedules are flexible, assigned on a weekly basis.

## Lunch and Work Breaks

A lunch break of 30 minutes is allowed to all employees who work for a period of six and one half (6.5) hours or more. This break should be taken as close to the middle of your shift as possible. We also allow two 15 minute breaks for staff working eight hours. All work breaks should be taken after an extended work period and should be coordinated with your co-workers.

## Employee Attendance Policy

The company places great emphasis on good attendance.

Frequent absence or tardiness places an extra burden on your co-workers. Only when you are dependably on the job can the company carry out its schedules and meet the needs of our customers. Your individual contribution is important to the functioning of the organization.

Regular attendance is expected of every employee. It is your responsibility to be on the job on time each day, fully able and ready to work. Although there are justifiable reasons to take time off from work, employment assumes the availability for work and excessive absenteeism and/or tardiness may lead to discipline, including discharge. An employee's unexcused absence record will also be taken into consideration when the company reviews each employee for wage increases and promotions.

If you must be absent or late on any workday, please notify your supervisor as early as possible. If you are absent due to an accident or illness for a period of three days or more, the company will request a note from a licensed physician verifying treatment and a release for your return to work.

Unexcused absences from work for two consecutive scheduled workdays without calling in or notifying the company will be considered to be voluntary resignation.

## Overtime

Eligible employees working overtime will receive 150% of their normal wage for overtime hours worked. Union employees will be paid based on the prevailing rules. Overtime must be authorized in advance by a supervisor.

## Holidays

Allen Kitchen and Bath recognizes the following holidays and provides all qualified non union employees with regular pay (8 hours):

- New Year's Day (Thursday, January 1, 2009)
    - Stores Close Wed at 4:00 pm
    - Stores Open Saturday with regular hours
- Memorial Day (Monday, May 25)
- Independence Day (Saturday, July 4)
    - All Staff off Monday July 6
    - Stores Close Saturday July 4
- Labor Day (Monday, September 7)
- Thanksgiving Day (Thursday November 26)
- Christmas Day (Thursday December 25)
    - Stores Close Thurs. at 4:00 pm
    - Stores Open Saturday with regular hours
- One personal day per year, to be approved in advance by your supervisor. Personal day available to new employees after 6 months employment.

Employees must be in attendance the workday before and immediately following the holiday to be paid for that holiday. Authorized vacation will count as attendance. Should a holiday fall on Saturday it will normally be observed on the following Monday. Holiday pay is at straight time.

Time off without pay will be allowed for employees to celebrate and participate in religious holidays.

## Vacation & Sick Pay

All full time non union employees earn vacation time based on years of service. Vacation time is computed and issued for all employees on January 1st each year. This earned vacation time is to be taken during that calendar year. No carry-over of vacation shall be allowed without written permission of the company president.

Vacation/ sick pay is earned as follows:

- Less than one year – 3.5 hours for each full month employed up to 40 total.
- Over 1 year but less than 2 full years – 40 hours, plus 3.5 hours for each full month employed during the first year, up to an additional 40 hours.
- Over 2 years – 80 hours.

Vacation requests must be submitted to your immediate supervisor in writing well in advance of your desired time off**. All vacation requests are subject to management approval**. It is important for the efficient operation of the company that vacation schedules be controlled based on manpower available and the workload scheduled or anticipated.

Milwaukee based non-union staff may use vacation time for sick pay as required by municipal ordinance.

- If you are a carpenter be sure that your request is past the last fully scheduled week on the long range schedule.
- Only one person from each of the following employee categories will be allowed vacation at one time:
  - Site crew leaders
  - Site helpers
  - Office staff, shop/delivery personnel
  - Sales staff
- Vacation requests will be considered on a first come basis. Seniority will be the deciding factor if simultaneous requests are received for the same period/department.
- Schedule as far in advance as possible.
- List alternate dates in case of conflict.

Every effort will be made to accommodate your vacation plans. On certain occasions exceptions to the above rules may be made, workload permitting, without setting precedent for future action. Vacation pay shall be at straight time.

Vacation pay must be used before unpaid leave will be authorized.

Sales/ Designer base pay for use in calculating vacation pay shall be based on the prior year average hourly pay or the starting wage if employed less than 18 months, whichever is greater.

## Leave of Absence

Should it be necessary for you to be away from your job for an extended time, you may protect your service with the company by applying for a leave of absence. Such leave, without pay, will be granted at management's discretion for reasons such as:

- Personal illness or accident.
- Illness or accident in your immediate family.
- Training.
- Military service.
- Jury duty.
- Pregnancy.
- Personal emergency.
- Funeral.
-

The employee must receive written approval for the leave of absence and must adhere to the terms and conditions of the leave. No leave of absence shall be approved for a period of more than 6 months.

- Military leave: The company complies with federal law regarding the rights of the employee who enters active military service. If an employee is called into active duty and meets all legal requirements, the company will allow the needed time off to fulfill this commitment.

- Jury leave: The company encourages all employees to be civic minded. To be eligible for jury duty pay, an employee must work for six continuous months. If you receive notification to serve on a jury, you must notify your supervisor immediately by completing a "Vacation/Leave form". A copy of the jury summons must be attached. If employees serve on a jury, they will continue to receive their regular wage for up to 5 working days.

- Training leave: The company encourages all employees to increase their educational and technical expertise with regard to their current job responsibilities. The purpose of providing leave for continuing education is to provide assistance for employees seeking continuing education in their respective fields for the mutual benefit of the company and the employee.

  The company will continue to pay an employee for leave to attend pre-approved training that is related to current job performance or to a job to which the employee will be promoted. You will continue to receive your regular pay for time you spend attending the training. Your pay will be calculated based on an eight-hour day.

## Family Medical Leave/Leave of Absence

Certain employees may be eligible to take unpaid family or medical leave under federal or state law.

Wisconsin law allows employees who have worked at least 1,000 hours in the past 12 months to take the following leaves in a calendar year:

- Up to 6 weeks of family leave for the birth or adoption of a child.
- Up to 2 weeks of family leave to care for a child, spouse or parent suffering from a serious health condition.
- Up to 2 weeks of medical leave for an employee to care for his/her own serious health condition which renders her/him unable to work.

Federal law allows employees who have worked at least 1,250 hours in the past 12 months to take up to 12 weeks of leave in a year for one or more of the following reasons:

- Family leave for the birth of an employee's child or because of the placement of a child with the employee for adoption or foster care.
- Family leave to care for a child, spouse, or parent suffering from a serious health condition.
- Medical leave for an employee to care for his/her own serious health condition which renders him/her unable to work.

Generally, employees needing to take family leave for birth/adoption/foster care placement should request leave at least 30 days in advance of the need. Employees should make reasonable efforts to schedule planned medical treatment so as not to unduly disrupt business operations. Generally, employees should provide at least 30 days notice for planned medical treatments, and as much notice as possible in emergency situations.

When a staff member takes a leave under these provisions, Allen Kitchen and Bath will continue paying the employer's portion of health insurance for up to 6 weeks. Beyond that, employees can maintain coverage at their own expense for up to 6 months.

## Re-employment After Leave

Every effort will be made to re-employ you in your former position upon your return from an authorized leave. However, we cannot guarantee that your position will remain open in your absence. If there is no vacancy, you will be offered another opening for which you are qualified, if available. For purposes of eligibility for vacation and other benefits, time off on an unpaid leave of absence will not count toward "time worked".

## Company Vehicles

Company vehicles may be used only on company time and for company purposes. No personal use of company vehicles is allowed without written permission from an officer of the company. If permission is given it is for a single occurrence and any additional personal usage will require a separate request and approval. Staff assigned a vehicle may drive the vehicle to work and back home. They will pay for all fuel for the vehicle as their share of vehicle cost for commuting. Carpenters may receive reimbursement at 20 cents per mile for job travel greater than 30 miles from their home or the respective store, whichever is less.

Employee is responsible for any taxes owed on vehicle usage for personal use. Employee can leave the vehicle at the respective store and incur no cost for commuting.

All employees driving a company vehicle must have a valid driver's license and must provide information to the company or its insurance carrier as requested concerning their driving record. Periodic reviews by our insurer may result in suspension of your use of company vehicles depending on the violations on your record. It is further possible, in extreme cases that our insurance company may prohibit you driving on company business.

All employees driving company vehicles shall comply with all traffic and safety regulations required by law. Any fines or tickets resulting from parking or moving violations will be paid by the employee. All violations must be reported to management promptly. No use of company vehicles is permitted for those not employed by Allen Kitchen and Bath.

Company vehicles are typically branded with company name. It is important that your driving behavior enhances our company image for courtesy and safety. Complaints on driving behavior may result in disciplinary action including loss of vehicle privileges or even termination.

Theft of personal tools or items from Allen vehicles would be covered by the employee's home owner's insurance.

## Use of Personal Vehicle for Company Business

Should an employee need to use their personal vehicle for company business the employee will be reimbursed at a rate of 43 cents per mile. This mileage amount may change during the year. Please submit reimbursement requests on the Expense Forms available from accounting.

## Employee Purchase Discounts

As an employee of Allen Kitchen and Bath you are allowed an additional discount on products normally sold by the company. This discount is for personal use by the employee and their family residing with them. Your cost on products purchased shall be delivered cost plus 10% for handling. Payment shall be made upon receipt.

## Tool Purchases (Site Crews only)

To help site carpenters afford the necessary tools of their trade the company will purchase the tools and deduct equal amounts from the employee's paychecks for 10 weeks. To qualify for this privilege an employee must be employed by the company for at least 2 months and receive written permission from the management. Tools so purchases must pertain to the employee's job. A "Tool Loan" form must be submitted and signed by Gary Allen before purchase. These forms are available in accounting. See form page 19.

## Personal Loans and Payroll Advances

It is not the policy of the company to provide loans or payroll advances.

## Request for Tool Loan

Date: ____/____/_____ Employee Name: _____

Type of Tool: _____

Reason for need of Tool: _____

_____

Cost of Tool: $ _____

Requested weekly payroll deduction: $ _____

First deduction on: ____/____/_____

I agree to repay Allen Kitchen & Bath the above sum over the maximum period of 10 weeks. No interest will be added to the amount. Should I leave the employ of Allen before making complete payment I agree that the residual amount may be deducted from my final check. If there is still a balance owed I agree to pay that promptly.

Employee: _____ Date ____/____/_____

Approved By: _____ Date ____/____/_____
Gary Allen, President

## Accounting Use

Actual cost with Tax: $_____

Weekly deduction: $ _____

Begin: ____/____/_____ End: ____/____/_____

____ Payroll set up completed by: _____

____ Final payment received _____

File completed form in employee file

## Uniform Shirts

Branded company apparel is provided to most staff in quantities and styles pertinent to their job and exposure to the public. Should employees wish to purchase additional apparel the company will cover ½ the cost of approved branded apparel. Deductions are made from your paycheck for up to 10 weeks.

## Telephone Policy

Allen Kitchen and Bath telephones are to be used for business calls only. Brief local calls for unusual personal or family needs are permitted. Cell phones issued to employees are the property of Allen Kitchen and Bath.

Employees shall be responsible for personal use costs.

You contribute to the reputation of Allen Kitchen and Bath by answering the phone promptly and pleasantly.

Please answer phone calls in the following manner:

> "Good Morning/Afternoon/Evening, Allen Kitchen and Bath, this is (your first name); how may I help you?"

Remember, cheerful and efficient handling of phone conversations is essential with us.

## Cellular Phones

Cell phones are assigned to many staff to allow timely communications between the office or customers and field staff. Usage for personal calls should be kept to a minimum.

Cell phones are expensive items. Base phones cost approximately $167.00 and data phones may exceed $500.00. You are responsible for the phone. Should it be lost or damaged you may be held responsible for cost of repair or replacement.

Upon leaving employ at Allen you must turn in the phone and all accessories including, but not limited to, cases, chargers, cables.

## Email and Internet Usage

Employees may be provided with the necessary computer equipment and access to have email and Internet available to them. Caution must be observed in opening email attachments that may contain viruses. Personal emails and web related access should not cause an interference with an employee's ability to perform their job timely and accurately.

## Bulletin Boards

Allen Kitchen and Bath maintains bulletin boards in the accounting office in Madison and the break room at the shop for the purpose of keeping all employees informed of company events and policy changes. Remember that only authorized personnel are allowed to put up, take down, or alter any notices. If there is something you would like to post, ask the supervisor for approval. Make sure to check the board regularly, as you are responsible for knowledge of all posted information.

## Performance Reviews and Evaluations

The purpose of employee reviews is to discuss the employees progress, status, ideas and set goals for the next few months.

When we discuss such matters with you, our intention is to help you gain a better understanding of your job performance, your responsibilities and the standards we expect you to meet. The evaluation is also an objective basis to use for setting compensation. However, not all evaluations will lead to adjustments in your wages.

Regular reviews with your supervisor are standard, and will generally take place for new employees within 90 days, and for all staff at least annually thereafter.

## Disciplinary Action

Unsatisfactory performance or failure to follow Allen Kitchen and Bath policies and procedures may result in disciplinary action in one or more of the following forms:
1. Verbal Correction
2. Written Warning
3. Loss of Vehicle privileges
4. Demotion including alteration of pay
5. Suspension without pay
6. Termination

## Resignation/Termination

If you decide to leave employment with Allen Kitchen and Bath, we would appreciate two or more week's notice. It requires time to find a suitable replacement. However, all employees are employed at will and can terminate their employment without notification. Notification should be given to your supervisor, and must be in writing. Management has the right to waive any notice and send an employee home immediately. If this occurs, the employee will receive the compensation they would have otherwise received had they worked during their notice.

Vacation time earned and unused will be paid if the employee gives two weeks notice. Any employee who fails to give two weeks notice will forfeit any earned vacation pay. Vacation pay will be paid up to 40 hours per check. The remaining time will be paid in the next week.

Any monies owed the company at the time of termination will be deducted from any outstanding pay owed the employee.

All company property shall be returned to the company in satisfactory condition prior to leaving including, but not limited to, keys, vehicles, charge cards, records, pricing materials, supplies and tools.

Sales designers shall be entitled to proportionate payoffs of commission on any in process job based on payments received on or before the date of termination. Recap amounts will be owed and paid for all jobs completed and paid on or before termination. Residual commissions will be forfeited.

Carpenters will be entitled to receive settlements of job recaps for jobs completed and paid in full at time of termination.

## Severance Pay

In the absence of a written agreement signed by the supervisor, Allen Kitchen and Bath has no legal obligation to provide severance pay to terminated employees. This includes pay for accrued unused vacations.

## Employee Parking

Allen Kitchen and Bath cannot accept responsibility for vehicles that are damaged or stolen while on Allen Kitchen and Bath property. Please make sure your vehicle is locked.

## Equal Opportunity

Allen Kitchen and Bath is an equal opportunity employer. All employment decisions are made to further the principle of equal employment opportunity.

## Handicap Accessibility

All Allen Kitchen & Bath properties provide handicap accessibility and accommodations.

## Discrimination and Harassment

It is Allen Kitchen and Bath's policy that all employees are entitled to work in an environment free from discrimination, including freedom from all forms of harassment. All employees are expected to support this policy in their daily conduct with one another. The supervisor is responsible for maintaining a work place free of harassment.

Sexual harassment is a form of illegal sex discrimination. This discrimination includes unwelcome sexual advances, unwelcome requests for sexual favors and other unwelcome verbal or physical contact of a sexual nature, where:

- Submission to acceptance of such conduct is explicitly or implicitly made a term or condition of a person's employment.
- Submission to acceptance of, or rejection of such conduct by a person, is used to make employment decisions concerning that person.
- The conduct is intended to, or does unreasonably interfere with a person's work performance, or creates an intimidating, hostile, or offensive work environment.

In order to make this policy a reality, Allen Kitchen and Bath encourages employees to report perceived harassment and pledges to promptly investigate all such complaints. Allen Kitchen and Bath will not tolerate any form of retaliation against any employee who has, in good faith, reported any perceived harassment to the employer, or who has opposed any perceived instances of harassment, or has been involved in any proceeding concerning alleged harassment.

Management will investigate all reports of perceived harassment.

Any employee who believes he or she has been subject to harassment or has observed perceived harassment of another employee should report the incident to his or her supervisor. The person conducting the investigation will interview the employee alleging harassment to determine the nature of the allegations. The employee should provide a written and signed report of the allegations, or should approve the content of notes taken by the interviewer before the investigation begins. Confidentiality of all persons involved will be protected as much as possible during an investigation; to the extent the investigation is not compromised.

Employees involved in any way in the reporting or the investigation of any alleged harassment are expected to maintain the confidentiality of the process.

An employee determined to have engaged in harassment may be subject to discipline up to and including termination of employment. An employee determined to have knowingly made false statements concerning alleged harassment may be subject to discipline up to and including termination of employment.

# Benefits

- ## Health Insurance:

Allen Kitchen and Bath offers an excellent group medical program for our employees and their families. Coverage is offered either on an employee only, employee plus dependent or family plan. New employees may enroll on the plan on the first of the month following 90 days of employment. If you wish to join the program you should make application immediately. After 90 days from your initial date of employment the insurance carrier may require examinations and restrict coverage for one full year. Acceptance of any employee into the group shall be at the discretion of the insurance carrier. You must fill in the application even if you decline the insurance. Union employees are not eligible.

Two medical plans are available for you to select. Details and costs appear on page 31.

The cost of this coverage along with associated benefits is described on page 30. The employee share of the premium will be deducted from your paycheck on a weekly basis, and is covered under section 125 codes, making these payments non-taxable.

It is the responsibility of the employee to make timely application to the plan and to provide the carrier with information as requested. The current policy is with Physician's Plus, but the company reserves the right to change carriers and coverage. Copies of the coverage provided under the policy are available for your review at your request.

- ## Continuation of coverage:

An employee or their dependant may be eligible to continue the company's group health coverage by paying the monthly premium in accordance with state and federal law concerning a qualifying event. This may occur as a result of a termination, layoff, reduction in hours, injury, or illness, or in the event an employee is on a military, jury duty, or other leave of absence. If an employee satisfies the eligibility requirement for continuation of coverage and:

- Is terminated;
- Is laid off;
- Has his/her hours reduced so as to no longer be considered a "full time" employee;
- Is on a leave of absence due to a non-work related injury;
- Is on an approved military leave;
- Is on an approved jury duty leave; or
- A dependant exceeds the age requirements of the carrier.

The company will continue its contribution for the month in which the employee is terminated, laid off, or the above leaves of absence. For continuation of coverage thereafter, the employee is responsible for full payment of premium following the event. The individual makes premium payment directly to the EBS Corporation. Payment is due by the end of the month prior to coverage.

- **Dental Insurance:** Dental insurance is offered to non union employees and their families. The cost of this insurance is covered on page 31. The employee share is deducted from your paycheck on an even weekly basis. The company reserves the right to change providers and coverage at its sole discretion.

- **Retirement Fund:** Allen Kitchen and Bath has established and pays to maintain a tax deferred 401k retirement program to which you can contribute on a voluntary basis. All funds you invest are immediately vested in your personal account and are invested as you direct by The Hartford. Allen Kitchen and Bath may, at it's sole discretion, provide a 25% match for each non union employee contribution up to 6% of their total wages after they have been employed 1 full year. Vesting of matching funds is based on longevity with the company. Employees with 5 years seniority are fully vested. Funds you contribute to your retirement program are deducted from your gross wages prior to tax computations. You are eligible to join the retirement plan after 90 days of employment. All new entries and changes in your withholding must be done on the first day of any month.

- **FICA:** For your retirement Allen Kitchen and Bath contributes an amount equal to that withheld from your paycheck for social security/Medicare. The current contribution is 7.65% employee and company for a total of 15.3% of your gross pay.

- **Worker's Compensation:** Allen Kitchen and Bath provides, at its expense, worker's compensation insurance which covers medical expenses, hospital cost and compensation for any lost time due to an accident occurring on the job. This insurance premium is based on the category of work you perform and ranges from less than 2% of gross pay for sales and office to over 15% for field carpenters and stone workers.

- **Unemployment Compensation Insurance:** If an employee becomes unemployed through no fault of their own, he/she may obtain benefits under the provisions of the state unemployment law. The employee's work experience and earnings determine the amount and duration of weekly benefit payments. The company pays 100% of the cost of this protection.

- ## Retirement Age

Employees of Allen Kitchen and Bath are required to retire at the age of 68 years. Under certain circumstances, by mutual agreement between the employee and management, he/she may be re-employed in some capacity by the company after retirement.

- ## Section 125 Full Flex spending Plan

Employees can take advantage of a tax shelter that can be used for medical and dental expenses, premium payments and child care costs while you are working. (See sheet on Section 125 Plan on page 32)

# Group Medical Insurance Plan

| | |
|---|---|
| Carrier | Physician's Plus |
| Policy # | Q02046 |
| Address: | P.O. Box 2078<br>Madison, WI 53701-2078<br>608-282-8900 or 800-545-5015 |
| Agent: | Hausmann-Johnson Insurance Co.<br>Caroline Cole- 608-252-9644 |

Note: Eligible for coverage first of month following 90 days employment.

| Features: | MSN HMO | MKE PPO |
|---|---|---|
| Office Visit copay | 35.00 | 20.00 |
| Child Visit copay | 35.00 | 20.00 |
| Specialist/ urgent care copay | 70.00 | 40.00 |
| Immunizations copay (to 17) | 35.00 | 0.00 |
| Emergency Room copay | 100.00 | 100.00 |
| Ambulance copay | 0.00 | 0.00 |
| Generic Drug Copay | 10.00 | 10.00 |
| Name Brand Drug copay | 25.00 | 25.00 |
| Non-Formulary Drug copay | 50% | 50% |

Madison plan includes $500 single deductible or $1000 family deductible for outpatient and inpatient expenses. Deductible does not apply to above co pay procedures. Deductible is waived if using Meriter Hospital. Any difference between above coverages and Physician's Plus coverage defaults to Physician's Plus.

Milwaukee PPO Plan includes $250 single deductible.

| 2009 costs | Total cost per month | | Employee Weekly deduction | |
|---|---|---|---|---|
| | MSN Plan | MKE Plan | Msn HMO | Mke PPO |
| Employee Only | 357.15 | 457.72 | 41.21 | 64.42 |
| Employee + One | 714.29 | 915.44 | 82.42 | 128.84 |
| Family | 1107.19 | 1418.98 | 127.76 | 199.72 |

Section 125 Plan: Allows your premium deductions to be before taxes.

Prescription drugs can be filled at Walgreen's, Wal-Mart, Target pharmacies as well as hundreds of independent pharmacies.

# Group Dental insurance Plan

| | |
|---|---|
| Carrier: | Delta Dental |
| Policy # | 21701-00012 |
| Address: | P.O. Box 828<br>Stevens Point, WI 54481<br>800-236-3713 |
| Agent: | Hausmann- Johnson Insurance Co.<br>Caroline Cole 608-252-9644 |

Note: Eligible for coverage first of month following 90 days employment.

Features: Covers 2 check ups per covered member per year.
Copay depends on if Dentist is in preferred network.
Annual deductible is $50.00 per person (not including check ups)
Maximum yearly benefit is $1200.00 per person

| 2008 costs | Employee Weekly Deduction |
|---|---|
| Employee Only | 3.94 |
| Employee + Spouse | 7.76 |
| Employee + Children | 8.31 |
| Family | 14.34 |

# Section 125 Full Flex spending Plan

**Description:** Under a section 125 full flex spending plan employees elect to have money deducted from their weekly paychecks before taxes are deducted and then can use that money to pay certain qualified costs. You don't pay FICA, Federal income tax or State income tax on the money withheld. (For most employees this will allow a savings of 25% or more) You may set aside up to $1,000.00 annually.

Allen Kitchen & Bath pays all administrative fees for the plan.

**Uses:** (Full manual is available for review)

- Copays for office visits and prescription drugs
- Deductible and coinsurance amounts
- Mileage costs to and from medical facilities for care
- Non covered dental expenses and some medical costs not covered by insurance.
- Dependent Care- Pay for childcare while working includes nursery school, daycare, elder care.
- Over the counter drugs such as Advil, cough syrup, etc.
- Prescription glasses and sun glasses

**How it Works:**

- Participation is purely voluntary. (For those enrolled in our group health or group dental plans, you will automatically be eligible for premium deduction)
- Taking part can save you 25% or more on medical costs.
- Estimate your anticipated annual expenses and then decide on the amount to have deducted from your check.
- Enrollment form must be turned in by December 20, 2008
- You cannot join or make changes during the year.
- You pay for the covered expenses, then submit receipts to EBC. Reimbursement is made to you directly.
- You must use the funds set aside by March 15 of 2010 or forfeit the balance.
- If you have left over funds consider buying prescription glasses, sunglasses or having optional dental work performed.

Carrier: Employee Benefits corporation
P.O. Box 44347
Madison, WI 53574
Contact: Penny Klein 800-346-2126
Agent: Hausmann- Johnson Insurance Company

# 401K Retirement Plan

**Administrator:** The Hartford
Clint Bauch, Financial Consultant
M&I Bank
401 Segoe Rd
Madison, WI
Clint.bauch@Micorp.com
608-231-5589

**Eligibility:** Full Time employees on first of month after 90 days employment.

**Company Match:** After 1 year full time employment
25% match to 6% total salary for all qualified, non union employees
**Suspended for 2009**

**Vesting:** Your contributions are immediately 100% vested
Matching contributions fully vested after 5 years employment.

**Enrollment Dates:** First day of any month.
Arrange with Harvey Smith (663-6624)

**Change Withholding**: First day of any month.
Arrange with Lois Reisman

**Change Funds**: You can rebalance or change allocations among the available plans at any time via the internet or by contacting Clint Bauch.

**Suspension:** Should the need arise; you can suspend your contributions at any time due to economic hardship.

**Roth Plan:** Employees can opt to make contributions AFTER taxes using the Roth 401K. Matching does not apply.

**Loans:** Our plan provides the opportunity to borrow from your fund for hardship only. Loan amounts are limited to 50% of plan balance up to $50,000 and repayment is by payroll deduction over 5 years maximum.

# KEY PHONE NUMBERS AND INFORMATION

**Madison store numbers:**
2727 W. Beltline Hwy.
Madison, WI 53713
Phone: 608-274-9933
800-227-8575
Fax: 608-274-9604
Web Site Address: WWW.AllenKitchenandBath.com

**Deerfield Numbers:**
310 S. Industrial Park Dr.
Deerfield, WI 53531
Shop Office: 608-663-6605
Fax: 608-663-6630

**Milwaukee:**
102 N. Water St.
Milwaukee, WI 53202
Phone: 262-395-7100
Fax: 262-395-7104

**Company Information:**
Federal ID Number- 139-35-9494
Wis Resale Permit- 004-0000335468-01
UBC Permit # 16992

**Select Staff Numbers:**

| | | |
|---|---|---|
| Gary Allen | 663-6610 | Co-Owner |
| Laree Allen | 663-6611 | Co-Owner |
| Lois Reisman | 663-6623 | Payroll & Benefits |
| John Gritzmacher | 712-4003 | Computers |
| Harvey Smith | 663-6624 | Purchasing & Scheduling |
| Kristin Allen | 663-6617 | Milwaukee Scheduling |
| Greg Davenport | 712-4037 | Delivery |

**Insurance Carriers:**
Agent- Hausmann Insuarance, Madison, WI. 608-257-3795
Automobile- West Bend Mutual policy #185951
Work Comp- West Bend Mutual policy #185952
Health Ins- Physician's Plus
Dental Ins- Delta Dental

**401K Plan Administrator:** The Hartford- Clint Bauch, M&I Bank 608-231-5589

## Acknowledgment Form

I have received a copy of the Allen Kitchen and Bath Employee Handbook. I have read and understand its contents. I acknowledge that it is my responsibility to ask questions about anything I do not understand.

I understand that it is my responsibility to abide by all company rules and regulations as set forth in this handbook, and/or rules and regulations that the company may otherwise establish in its sole discretion. I also understand that the company may change the contents of this handbook at any time, with or without notice.

I further understand and acknowledge that this handbook provides guidelines and information, but this handbook is not, nor is it intended to constitute, and employment contract of any kind. I understand that my employment and compensation can be terminated at the option of either the company or me at any time, for any reason. I understand that this handbook and the Acknowledgment Form do not vary or modify the at-will employment relationship between the company and me.

_____
Employee's signature

_____
Date signed

After you have read and signed this page, please detach the page from the handbook and return signed page to your supervisor.

# To be the best today and better tomorrow through . . .

- **Teamwork**
  - **Organization**
    - **Pride**
      - **Honesty**
        - **Responsibility**
          - **Growth**
            - **Compassion**
              - **Empowerment**